States had earlier objected to the change in the Finance Commission's mandate, fearing that, instead of a two-way distribution of net central taxes between the Centre and the states, such a fund could reduce their share if a three-way distribution were to be carried out by the Fifteenth Finance Commission. 'Constitutionally, defence is in the Union list, not in the state list. If you do a carve-out for defence, who gets to control the money? Do you then have some sort of a defence board in which there are states' representatives? It will open up a whole can of worms. It will almost certainly be challenged by states,' former principal economic adviser to the Planning Commission, Pronab Sen, told the newspaper *Mint*.[133]

Parasaran's legal advice on the proposal argued that every Indian citizen should contribute towards funding the defence and internal security needs of the country. Accordingly, the Commission's final report, tabled in Parliament on 1 February 2021, recommended the creation of a non-lapsable 'Modernization Fund for Defence and Internal Security' (MFDIS). The government accepted the recommendation 'in-principle', and Finance Minister Nirmala Sitharaman informed the house that 'sources of funding and modalities will be examined in due course.'[134] The detailing of how such a fund would operate in the future was still a work in progress at the time of writing in October 2021. This is partly because the proposed structural change in defence funding is being reviewed in tandem with the unfolding of the wider process of armed forces reform initiated by the Modi government. It is linked to the creation of the new institution of the CDS and the related move to restructure the Army, Air Force and Navy's existing operational structure of nineteen separate commands into a much smaller number of combined geographic 'theatre' commands.[135]

Interestingly, Parasaran harked back to ancient texts, and the economic thinking in the Vedas and the Puranas, to justify his legal opinion in favour of a change in the defence funding mechanism. 'Parasaran has opined that it (funding for defence and internal security) transcends any definition of classification. He has traced the evolution of the world through *Vedas*, *Puranas* and *Arthashastra*, that this is the primary obligation of every citizen of India, obligation